

Alpha Manufacturing Group (AMG)

ERP Transformation Executive Memo

Prepared for the AMG Executive Team

Executive Summary

AMG should replace the legacy ERP with a phased, fit-to-standard cloud ERP programme that protects plant operations first and expands scope only after the pilot stabilises. The right design is not a “big bang” cutover. It is a controlled pilot with strong governance, clean master data, a narrow Day-1 scope, and a parallel reporting layer so leadership keeps access to historical performance while the new system proves itself. This approach is consistent with Microsoft’s emphasis on process-focused implementation, Oracle’s guidance on phasing complex cloud journeys, SAP’s fit-to-standard discipline, and PMI’s scope control principles.

Recommended Approach

- 1. Start with business outcomes:** restore margin visibility, reduce BOM errors, protect month-end close, and prevent production disruption.
- 2. Run a pilot first:** select one plant or business unit as the first live site, using standard ERP processes wherever possible and limiting custom code.
- 3. Use a “fit-to-standard” design:** map AMG processes to the ERP’s standard capabilities before approving any extension or customization.
- 4. Build a strict change-control gate:** every request must be tested against value, risk, cost, and go-live timing.

Scope and Sequencing

Day-1 must-haves: core finance (GL, AP, AR), procurement, inventory, manufacturing planning, BOM and engineering change handoff, order management, and essential reporting.

Deliberately deferred: CRM rework, HRIS replacement, advanced analytics, broad automation projects, and any “nice-to-have” customisation not required to run the business on Day 1.

Customization discipline: configure first, extend only when a genuine process or compliance gap remains, and avoid changing the ERP core unless the business case is unavoidable.

Day-1 / Deferred Scope View

Workstream	Go-live (Day 1)	Defer until later
Finance	General ledger, AP/AR, fixed assets, month-end close	Advanced planning, finance automation extras
Operations	Inventory, purchasing, production planning, BOM accuracy	Non-critical workflow redesigns
Commercial	Order entry integration and core customer master data	CRM overhaul and sales process redesign

People / admin	Minimal employee master data needed for operations	Full HRIS replacement and payroll redesign
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Data and Reporting Strategy

- Migrate the master data and open transactions needed to operate from Day 1: customers, suppliers, items, routings, BOMs, open POs, open orders, and current financial balances.
- Keep historical detail in a searchable archive or reporting warehouse so teams can run trend analysis, audits, and ad hoc KPI queries without bloating the new ERP.
- Run at least one parallel month-end close before full cutover, reconcile the results, and keep the legacy ERP read-only until reporting and audit needs are safely covered.

Top Risks and Controls

Risk	Why it matters	Control
Data migration defects	Bad data breaks manufacturing and reporting.	Cleanse early, reconcile repeatedly, and lock data owners to sign-off.
Scope creep / customisation	Adds delay, cost, and upgrade risk.	Use a formal change board and a “configure-first” rule.
Cutover disruption	Could stop production or delay shipments.	Pilot first, run rehearsals, and define rollback plans.
User adoption failure	Users may revert to Excel or old workarounds.	Train by role, use business process owners, and provide hypercare.

What Success Looks Like

- The first site goes live without interrupting production or month-end close.
- Executives can see margin by order, customer, and product family.
- BOM changes flow cleanly from engineering to manufacturing.
- The company gains a stable cloud ERP foundation that can absorb later modules and integrations.

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